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The Engine: Decoding CleanMax's B2B Energy-as-a-Service Business Model

Introduction

CleanMax funds, builds, owns, and operates (BOO) the renewable energy assets (solar, wind, or hybrid). The corporate client incurs zero upfront capital expenditure (Capex). CleanMax delivers this power through two primary channels:

1. On-Site (Distributed Generation)

- **Execution:** Rooftop solar arrays, solar carports, and localized ground-mounted installations built directly on the client's factory or office premises.
- **Mechanics:** Power is consumed "behind the meter." This completely insulates the client from state grid transmission vulnerabilities and bypasses grid utility distribution fees.

2. Off-Site (Green Open Access)

- **Execution:** Large-scale, centralized wind, solar, or hybrid (wind-solar) farms developed by CleanMax in resource-rich states (e.g., Gujarat, Rajasthan, Karnataka).
- **Mechanics:** Power is injected into the state/national grid and wheeled across the country to the client's geographically distant facilities utilizing India's **Green Open Access Rules**. This layout is essential for heavy industrial consumers and data centers whose power demands far exceed their physical rooftop footprint.

Clean Max Enviro Energy Solutions Ltd. operates exclusively within this sweet spot: the **Commercial & Industrial (C&I)** renewable energy sector. By deploying an **Energy-as-a-Service (EaaS)** framework, the company bypasses debt-laden State Distribution Companies (DISCOMs) to sell power directly to blue-chip corporate enterprises.

The Monetization Architecture: OPEX vs. CAPEX

CleanMax's operational engine runs predominantly on an **OPEX (Operating Expense)** or Build-Own-Operate (BOO) model.

- **Zero-CAPEX for Clients:** Corporate clients incur zero upfront capital expenditure. CleanMax finances, engineers, installs, and maintains the renewable infrastructure.
- **The Power Purchase Agreement (PPA):** Monetization is governed by long-term, legally binding PPAs spanning **15 to 25 years**. The client contracts to buy every kilowatt-hour (kWh) generated at a pre-determined, fixed or escalating tariff.

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| THE TARIFF ARBITRAGE |

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| Commercial/Industrial Grid Tariff: ₹7.00 - ₹10.00 / kWh |

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CleanMax PPA Tariff:	₹2.00 - ₹4.00 / kWh
+-----+	
NET SAVINGS TO ENTERPRISE:	~40% - 60% on Power Bills
+-----+	

The Operational Moat

From an institutional credit and capital allocation standpoint, this business model creates three powerful structural advantages:

- **Elite Counterparty Risk Profile:** Rather than waiting on erratic cash flows from state utilities, CleanMax’s receivables are backed by high-credit-rating multi-nationals and enterprise giants (e.g., Iron Mountain, Shell, major data center operators). This keeps average collection times at an industry-leading **24 days**.
- **Compounding Annuity Streams:** Once the initial capex is deployed, each asset transforms into a predictable cash-generating machine with a **22.8-year weighted average contract life**, creating highly visible, multi-decade cash flows.
- **High Client Retention:** **77.2%** of CleanMax's incremental capacity additions are driven by repeat business from existing corporate clients expanding their operations or raising their ESG decarbonization targets.

The Rate of Change

In equity research, the most explosive returns are generated when a company experiences a synchronized "**rate of change**" inflection in both profitability and sector allocation. Clean Max Enviro Energy Solutions Ltd. is currently crossing this exact threshold.

After a prolonged, capital-intensive incubation phase that suppressed near-term accounting returns, the company has pivoted from an FY24 loss of **₹38 Cr** to a breakout FY26 consolidated net profit of **₹86 Cr**.

The Investment Thesis & Growth Potential

1. The AI Infrastructure & Data Center Catalyst

Data centers are structural power hogs; a single modern AI data center can consume up to 10x the power of a legacy facility. CleanMax has aggressively pivoted its capacity pipeline to target this specific demand curve.

- **Portfolio Weighting:** The data center and technological infrastructure segment now commands **42%** of CleanMax’s total contracted pipeline—a staggering **10x growth** in volume exposure since FY24.
- **Contract Visibility:** High-profile PPA executions, such as the recently signed contract to supply **32 million kWh** annually to Iron Mountain facilities, guarantee that the company's **5.7 GW pipeline** is insulated from demand risk.

2. Operating Leverage and Return Ratio Expansion

The bears point to a compressed Return on Capital Employed (ROCE) of **6.24%**. We view this as a lagging indicator rather than a structural flaw.





- **Unlocking Dead Capital:** CleanMax currently carries **₹5,339 Cr** in Capital Work in Progress (CWIP)—capital that has been spent but is not yet generating EBITDA. As these assets come online over the next 12–24 months, consolidated EBIT will expand disproportionately against the capital base.
- **Target Target Trajectory:** Backed by steady consolidated operating margins of **~59%**, we project a sharp normalization of ROCE toward **9.5% – 11%** by FY28.

Key Downside Risks

- **Balance Sheet Leverage:** The primary fundamental risk is an aggressive debt load of **₹12,684 Cr** compiled to fund utility-scale open access build-outs. Net profit growth will face structural friction from a heavy interest-servicing burden (**₹786 Cr** in FY26) until free cash flows or equity injections are used to systematically pay down principal.
- **Regulatory Open Access Friction:** Off-site power generation depends on state-controlled transmission grids. Arbitrary regulatory adjustments by state governments to wheeling charges, cross-subsidy surcharges, or banking rules can occasionally compress the tariff arbitrage margin.

Valuation Commentary & Multiple Asymmetry

The market is mispricing CleanMax by evaluating it through the same high-risk lens as public utility IPPs. Utility-scale peers like Adani Green and NTPC Green trade at blistering, premium valuations (P/E multiples ranging from **120x to 160x**), driven by headline capacity numbers despite being exposed to fiscal payment delays from weak state DISCOMs.

CleanMax trades at an institutional entry point of **19.7x P/E (TTM)** and an **EV/EBITDA of ~20.8x**.

Given its structural insulation from state utility credit risk, an industry-leading collection cycle, and an unprecedented **42% direct exposure to the AI data center boom**, we believe the stock warrants a strong multiple re-rating. The recent credit rating upgrade by CARE to **AA-/Stable** further solidifies this stance, lowering the company's forward cost of capital and accelerating net margins.

- **Confidence Level:High**
- **Expected Timeframe:18 – 24 Months**





CleanMax

Clean Max Enviro Energy Solutions Ltd

NSE: CLEANMAX

1,114.00 INR

+224.20 (26.20%) all time

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Latest GDP numbers in the eyes of Nivezo AI.

Here is the Nivezo system generated Answer.

Hello there! Nivezo AI here, ready to dive into India's recent economic performance.

India's economy has demonstrated impressive resilience, with the latest data showing a robust **7.8% GDP growth for the first quarter of fiscal year 2026-27 (April-June)**. This figure has certainly caught the attention of the market, as it has surpassed both the Reserve Bank of India's (RBI) earlier projection of 7% and various e...

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